



tonnes, which is 10% over the previous year's 271.77 lakh tonnes.

- Iron ore sales increased to 281.84 lakh tonnes, i.e., 10% increase over the previous year's sales of 255.89 lakh tonnes.
- Supply of iron ore to domestic industries recorded 244.06 lakh tonnes as against the previous year's supply of 223.28 lakh tonnes, an increase of 9%. Total export of iron ore during the year was 37.78 lakh tonnes against 32.61 lakh tonnes in the previous year, an increase of 16%.

IRON ORE SALES

In this context, I wish to share with you two aspects of iron ore sales. One: The total export of iron ore during the year under report was 3.78 million tonnes as against the production of 29.82 million tonnes, which is to say that the export was only 12.68% of the production. The primacy is given to the domestic sector is part of your Company's endeavor in contributing to the nation building.

Two: While there has been steep increase in iron ore prices, your Company was obliged to increase the iron ore prices as per the provisions of the long-term contract with the domestic customers. However, the Company took a conscious decision to restrict the hike to a flat rate of Rs.574/- per tonne since October 2007, in order to ensure that the resultant increase in cost of steel making does not exceed Rs.860 or so. This was done in the overall interest of the nation.

EXPANSION

The iron ore requirement is ever growing with the increasing demand for steel from infrastructure and manufacturing and construction sectors. Your Company has geared up to meet, at



least, in part the increasing demand of iron ore. The mission is to achieve 50 million tonnes of iron ore by 2014-15. The capacities of the existing mines are being expanded by upgrading equipment. A new mine, Bailadila deposit-11/B, with a capacity of seven million tonnes will be opened by 2009. The Kumaraswamy deposit, which is now being developed for an annual production of capacity of three million tonnes, will be ramped up to seven million tonnes.

In June 2008, the Joint Venture Company, NMDC-CMDC Limited, was incorporated at Raipur, to develop Bailadila deposit-13 for priority allocation of ore from this mine to the steelmakers in the State of Chhattisgarh, in terms of the Memorandum and Articles of Association.

VALUE ADDITION

Your Company believes in value addition to the ore where it is mined. Your Company is now directing its' resources to diversify into steel making. An integrated steel plant with a capacity of three million tonnes per annum will be set up in the State of Chhattisgarh. Being a green field project, the investment would be in the range of Rs. 14,000 crore. making. An integrated steel plant with a capacity of three million tonnes per annum will be set up in the State of Chhattisgarh. Being a green field project, the investment would be in the range of Rs. 14,000 crore.

CORPORATE SOCIAL RESPONSIBILITY

Your Company is a socially conscious miner. It holds itself as a



guardian of the Nation's assets. By means of scientific mining, it ensures conservation of the non-renewable mineral. At the same time, your Company has always been in the forefront to take care of the local community. Earlier, under Peripheral Development, and now under Corporate Social Responsibility, your Company has taken up various programmes for the betterment of the local community around the projects. I am not repeating the details of the programmes given as part of the Directors' Report.

CORPORATE GOVERNANCE

Your Company has complied with the guidelines on Corporate Governance. Corporate governance is holding the balance between economic and social goals and between individual and community goals. The governance framework helps to encourage the efficient use of resources and equally to require accountability for the stewardship of those resources. The aim is to align as nearly as possible the interests of individuals, corporations and society. A report on